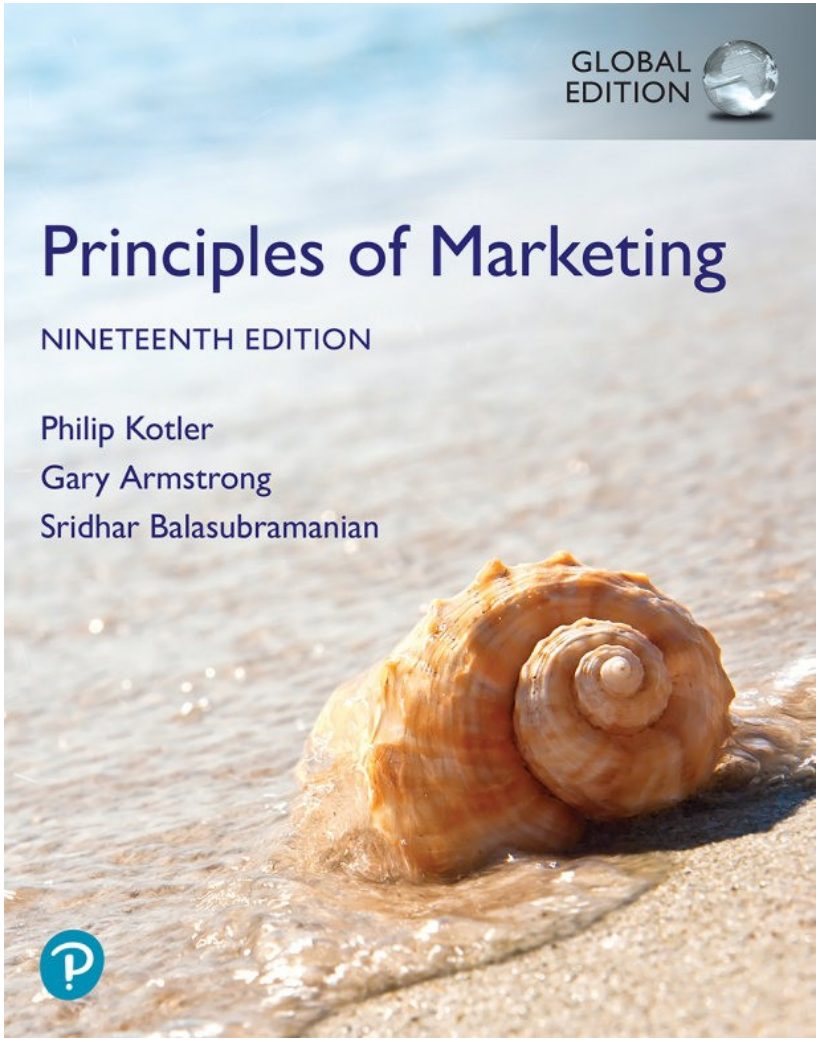
Principles of Marketing

Nineteenth Edition, Global Edition



Chapter 2

Company and Marketing Strategy: Partnering to Build Customer Engagement, Value, and Relationships

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Learning Objectives

2.1 Explain company-wide strategic planning and its four steps.

2.2 Discuss how to design business portfolios and develop growth strategies.

2.3 Explain marketing's role in strategic planning and how marketing works with its partners to create and deliver customer value.

2.4 Describe the elements of a customer value-driven marketing strategy and mix and the forces that influence them.

2.5 Explore the marketing management functions, including the elements of a marketing plan, and discuss the importance of measuring and managing marketing return on investment.

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STARBUCKS: Delivering the "Starbucks Experience"

More than just coffee, Starbucks sells the "Starbucks Experience," one that "enriches people's lives one moment, one human being, one extraordinary cup of coffee at a time."

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Learning Objective 1

Explain company-wide strategic planning and its four steps.

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Company-Wide Strategic Planning: Defining Marketing's Role (1 of 5)

Strategic planning is the process of developing and maintaining a strategic fit between the organization's goals and capabilities, and its changing marketing opportunities.

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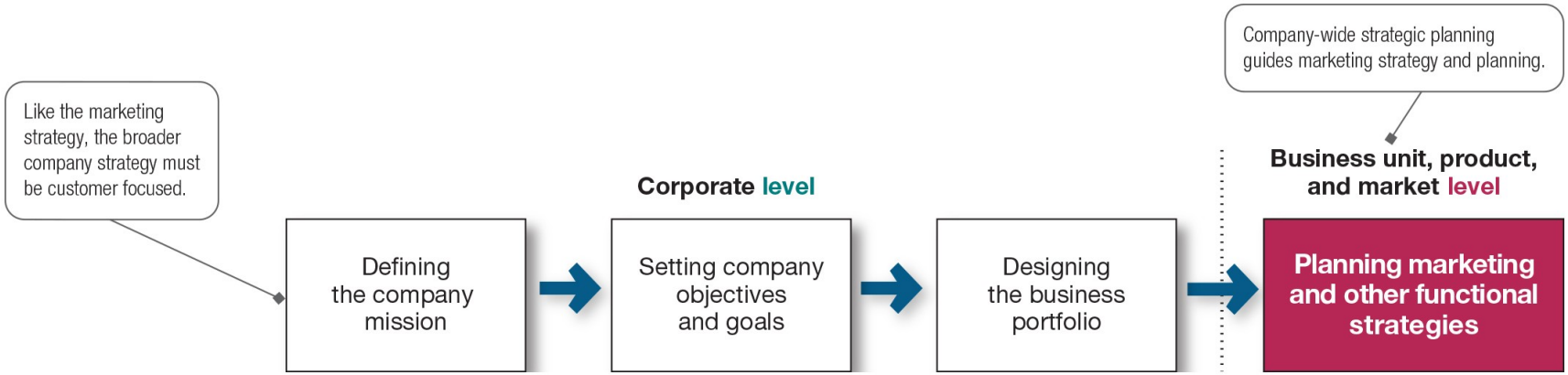
Company-Wide Strategic Planning: Defining Marketing's Role (2 of 5)

Figure 2.1 Steps in Strategic Planning



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Company-Wide Strategic Planning: Defining Marketing's Role (3 of 5)

The **mission statement** is the organization's purpose; what it wants to accomplish in the larger environment.

CVS Health's overall mission is to be a "health care innovation company," one that is "helping people on their way to better health." Its marketing strategies and programs must support this mission.

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Company-Wide Strategic Planning: Defining Marketing's Role (4 of 5)

Product- versus Market-Oriented Business Definitions

Company	Product-Oriented Definition	Market-Oriented Definition
Starbucks	We sell coffee and snacks.	We sell "The Starbucks Experience," one that enriches people's lives in one moment, one human being, one extraordinary cup of coffee at a time.
Panera	We sell fast-casual food in our restaurants.	We give customers "Food as it should be": food that tastes good; food that feels good; food that does good things for them and the world around them.

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Real Marketing 2.1 IKEA's Mission: Creating a Better Everyday Life for the Many People

IKEA's deeply held mission is to "create a better everyday life for the many people by offering a wide range of well-designed, functional home furnishing products at prices so low that as many people as possible will be able to afford them."

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Company-Wide Strategic Planning: Defining Marketing's Role (5 of 5)

Setting Company Objectives and Goals

- Business objectives
  - Build profitable customer relationships
  - Invest in research
  - Improve profits
- Marketing objectives
  - Increase market share
  - Create local partnerships
  - Increase promotion

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Learning Objective 2

Discuss how to design business portfolios and develop growth strategies.

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Designing the Business Portfolio
(1 of 8)

The business portfolio is the collection of businesses and products that make up the company.

Portfolio analysis is a major activity in strategic planning whereby management evaluates the products and businesses that make up the company.

Complex business portfolios: You probably know Johnson & Johnson for its many iconic consumer health brands, maybe BAND-AID brand adhesive bandages, Johnson's baby shampoo, or Tylenol pain reliever. But did you know that the substantial bulk of J&J's revenue comes from its pharmaceuticals and medical devices businesses?

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Designing the Business Portfolio
(2 of 8)

Strategic business units can be a

- Company division
- Product line within a division
- Single product or brand

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Designing the Business Portfolio
(3 of 8)

Analyzing the Current Business Portfolio

- Identify strategic business units (SBUs)
- Assess the attractiveness of its various SBUs
- Decide how much support each SBU deserves

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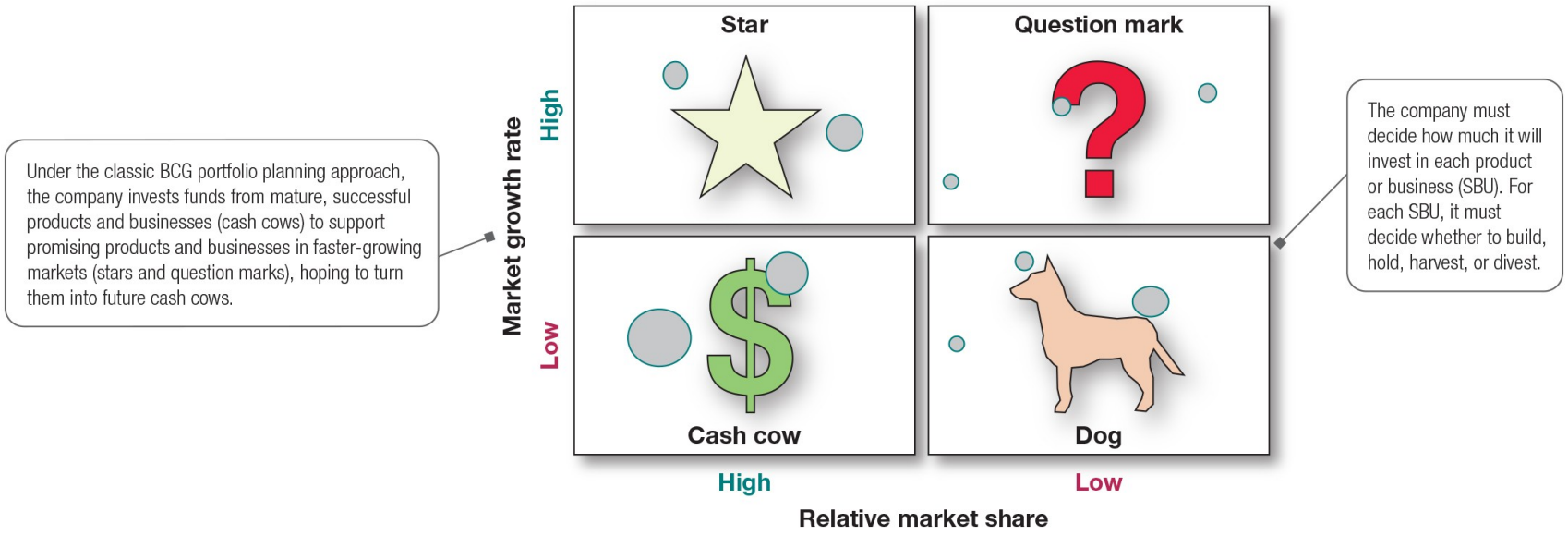
Designing the Business Portfolio
(4 of 8)

Figure 2.2 The BCG Growth-Share Matrix



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Designing the Business Portfolio
(5 of 8)

Problems with Matrix Approaches

- Difficulty in defining SBU s and measuring market share and growth
- Time consuming
- Expensive
- May not apply well to markets facing structural changes or disruptions
- Many companies dropped formal matrix-based methods in favor of customized approaches that suit specific situations.
- These approaches are more decentralized.

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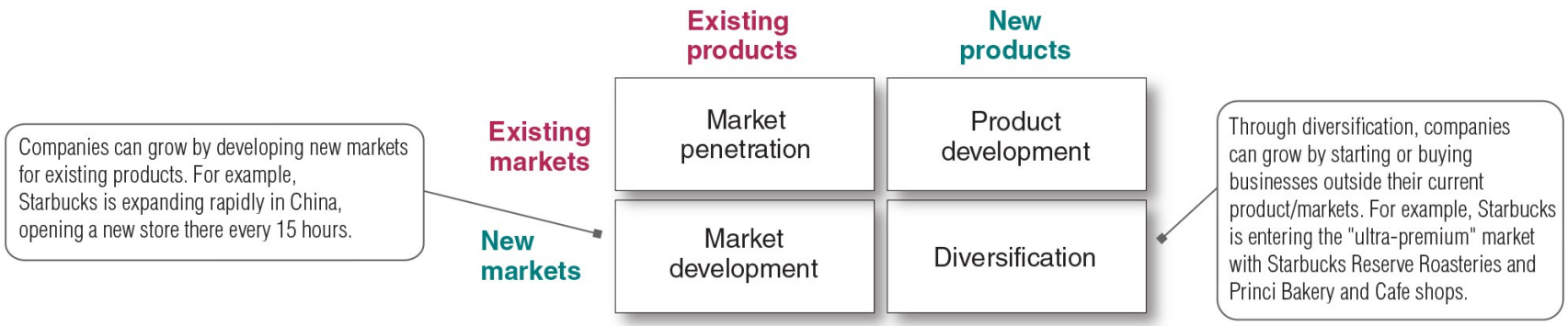
Designing the Business Portfolio
(6 of 8)

Figure 2.3 The Product/Market Expansion Grid



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Designing the Business Portfolio
(7 of 8)

Developing Strategies for Growth and Downsizing

Strategies for growth: To maintain its incredible growth, Starbucks has brewed up an ambitious, multipronged growth strategy. In little more than three decades, the chain has grown from a small Seattle coffee shop to an over $24 billion powerhouse.

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Designing the Business Portfolio
(8 of 8)

Developing Strategies for Growth and Downsizing

Downsizing is when a company must prune, harvest, or divest businesses that are unprofitable or that no longer fit the strategy.

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Learning Objective 3

Explain marketing's role in strategic planning and how marketing works with its partners to create and deliver customer value.

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Planning Marketing: Partnering to Build Customer Relationships (1 of 3)

Partnering with Other Company Departments

Value chain is a series of departments that carry out value creating activities to design, produce, market, deliver, and support a firm's products.

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Planning Marketing: Partnering to Build Customer Relationships (2 of 3)

Partnering with Other Company Departments

The value chain: To obtain sales and maintain a profitable customer relationship, Airbus marketers work closely with finance, design, production, service, and other Airbus departments to engage in a highly coordinated customer value creation and delivery process over time. Working together, the total company team can help Airbus's airline customers "own the sky."

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Planning Marketing: Partnering to Build Customer Relationships (3 of 3)

Partnering with Others in the Marketing System

Value delivery network is made up of the company, suppliers, distributors, and ultimately customers who partner with each other to improve performance of the entire system.

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Learning Objective 4

Describe the elements of a customer value-driven marketing strategy and mix and the forces that influence them.

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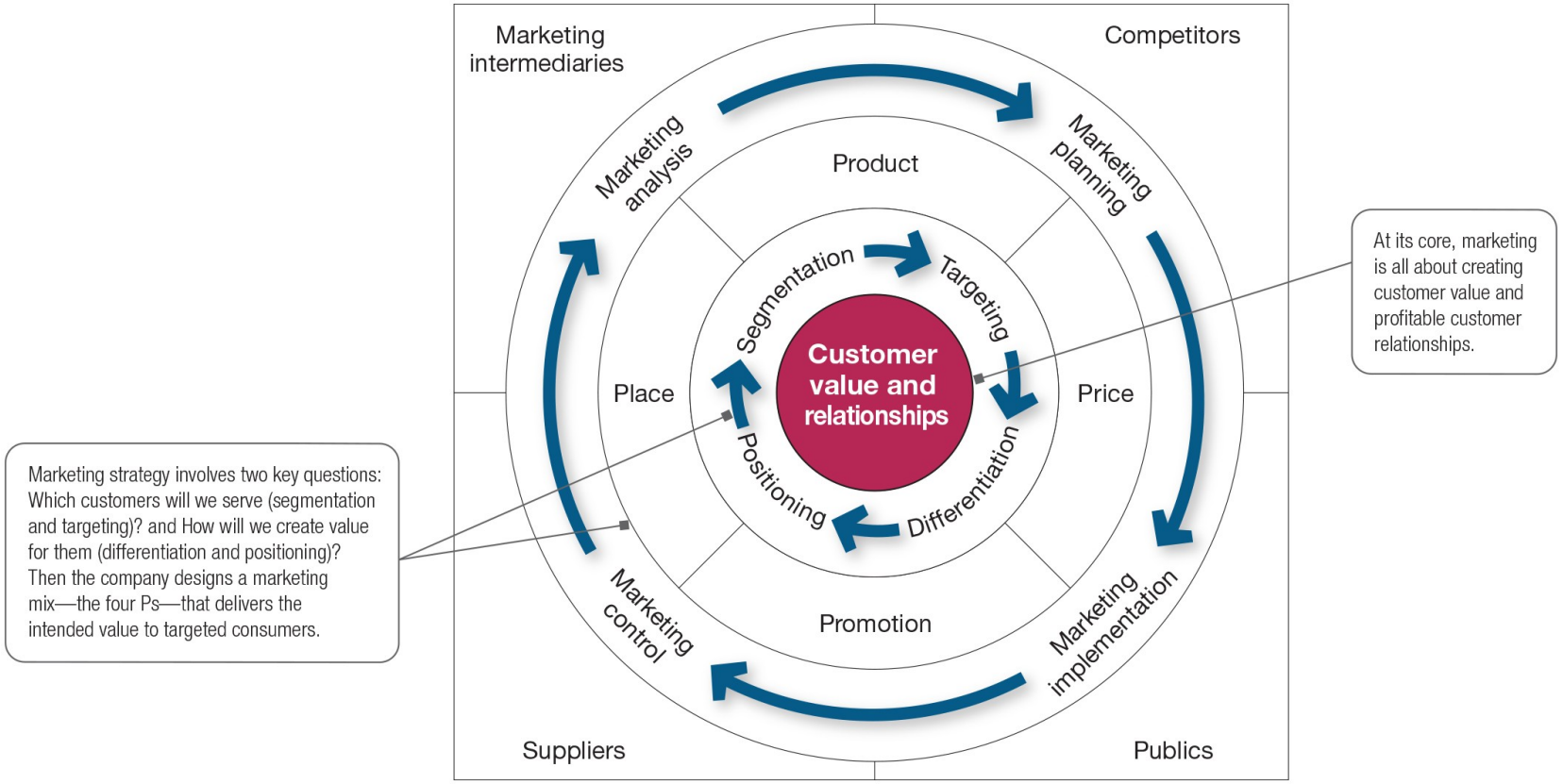
Marketing Strategy and the Marketing Mix (1 of 7)

Figure 2.4 Managing Marketing Strategies and the Marketing Mix



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Marketing Strategy and the Marketing Mix (2 of 7)

Customer Value-Driven Marketing Strategy

Marketing strategy is the marketing logic by which the company hopes to create customer value and achieve profitable customer relationships.

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Marketing Strategy and the Marketing Mix (3 of 7)

Customer Value-Driven Marketing Strategy

Market segmentation is the division of a market into distinct groups of buyers who have different needs, characteristics, or behaviors and who might require separate products or marketing mixes.

Market segment is a group of consumers who respond in a similar way to a given set of marketing efforts.

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Discussion Question (1 of 2)

Discuss the importance of market segmentation

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Marketing Strategy and the Marketing Mix (4 of 7)

Customer Value-Driven Marketing Strategy

Market targeting is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

Market positioning is the arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers.

Differentiation begins the positioning process.

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Marketing Strategy and the Marketing Mix (5 of 7)

Customer Value-Driven Marketing Strategy

Positioning is arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products from competing brands and give them the greatest advantage in their target markets.

The non-dairy segment started off as an offshoot of the milk industry but has now become a huge industry containing various segments within itself.

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Positioning

Positioning: Global Village Dubai's positioning as a funfair ground sets it apart from the plethora of theme parks in the region.

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Marketing Strategy and the Marketing Mix (6 of 7)

Developing an Integrated Marketing Mix

Marketing mix is the set of controllable, tactical marketing tools—product, price, place, and promotion—that the firm blends to produce the response it wants in the target market.

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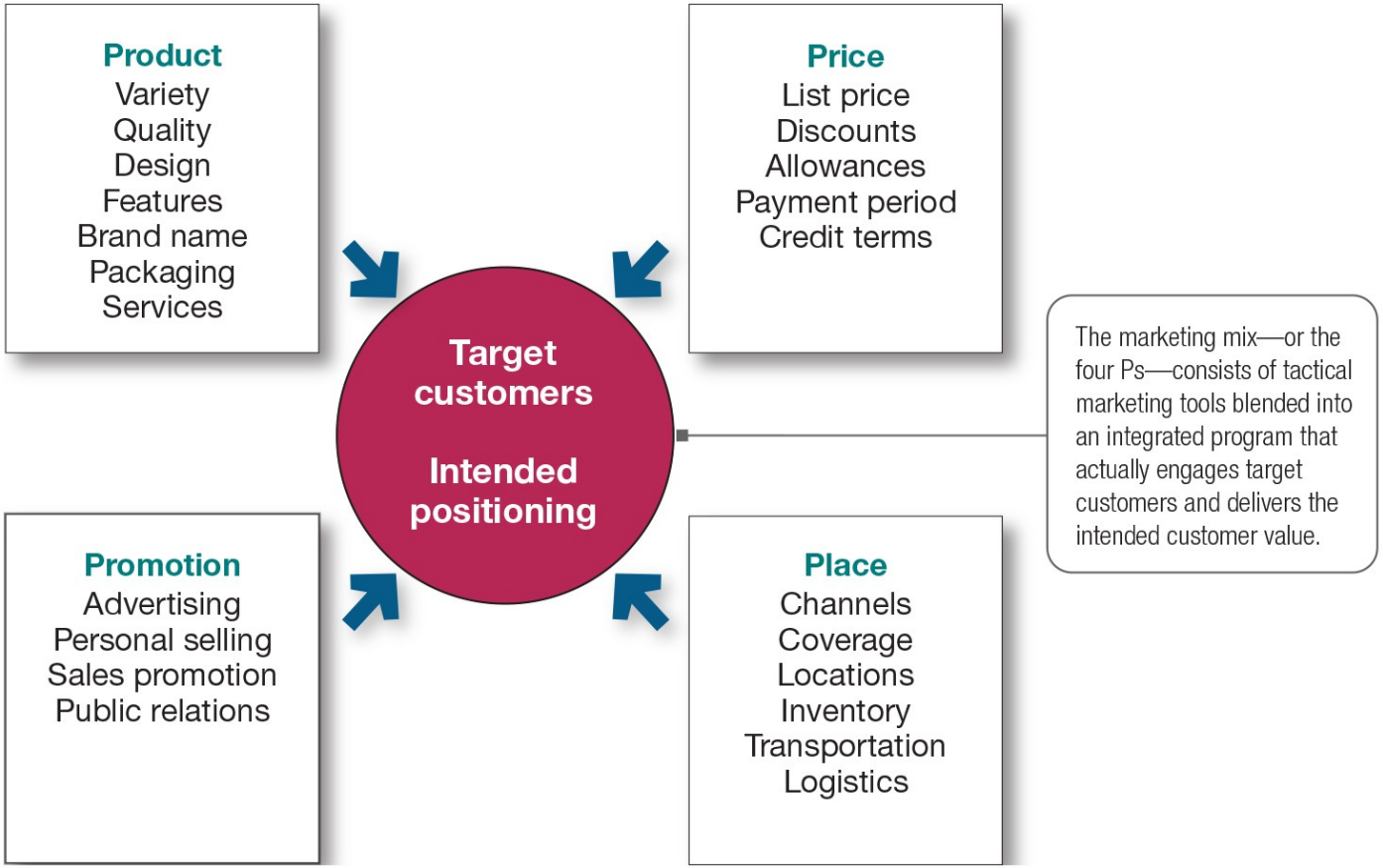
Marketing Strategy and the Marketing Mix (7 of 7)

Figure 2.5 The Four P s of the Marketing Mix



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Discussion Question (2 of 2)

Marketers should think through the Four As and then build the four Ps. Do you agree? Explain your answer.

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Learning Objective 5

Explore the marketing management functions, including the elements of a marketing plan, and discuss the importance of measuring and managing marketing return on investment.

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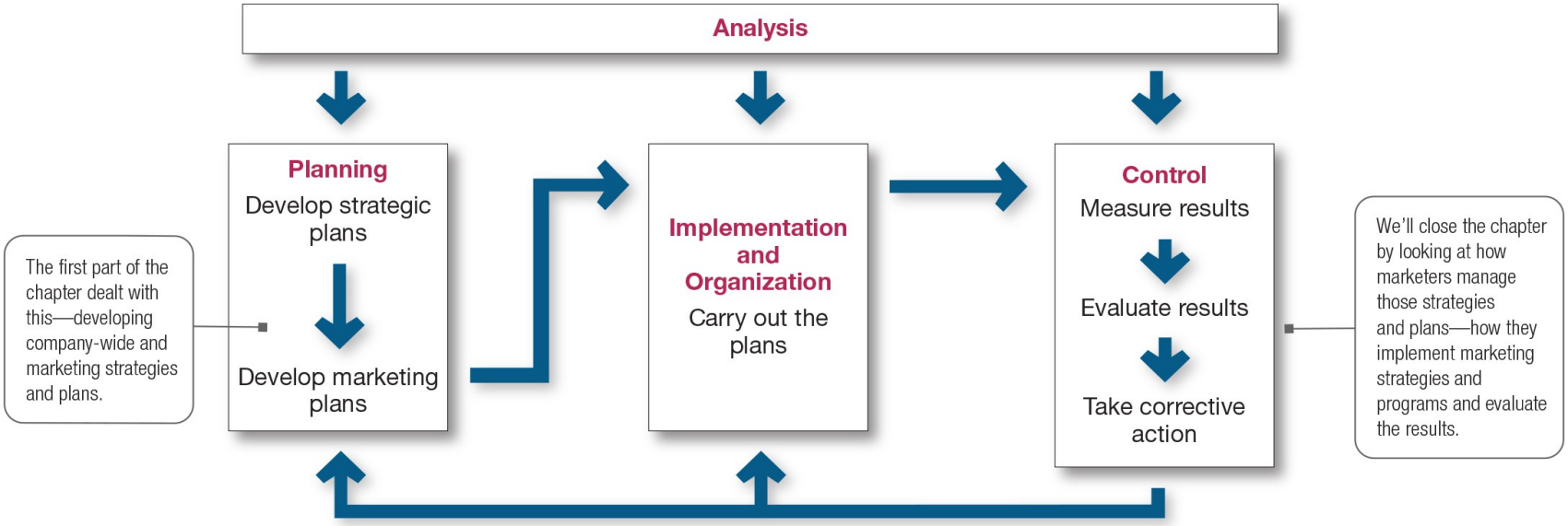
Managing the Marketing Effort and Marketing Return on Investment (1 of 4)

Figure 2.6 Managing Marketing: Analysis, Planning, Implementation, and Control



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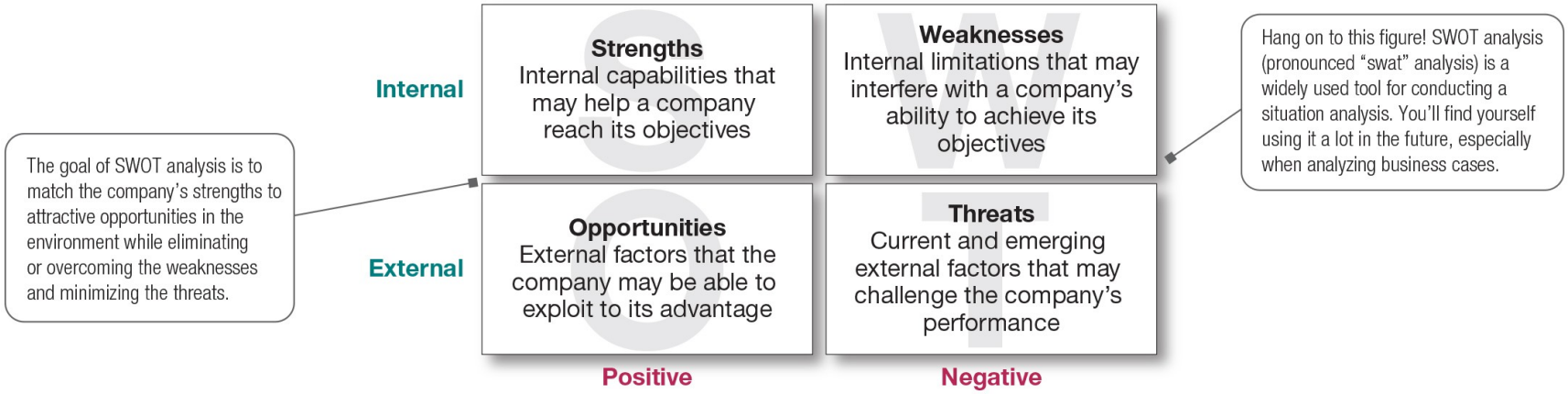
Managing the Marketing Effort and Marketing Return on Investment (2 of 4)

Figure 2.7 SWOT Analysis: Strengths (S), Weaknesses (W), Opportunities (O), and Threats (T)



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Managing the Marketing Effort and Marketing Return on Investment (3 of 4)

Market Planning—Parts of a Marketing Plan

- Executive summary
- Current Marketing situation
- Threats and opportunities analysis (SWOT)
- Objectives and issues
- Marketing strategy
- Executive plans
- Budgets
- Controls

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Managing the Marketing Effort and Marketing Return on Investment (4 of 4)

Marketing Implementation

- Turning marketing strategies and plans into marketing actions to accomplish strategic marketing objectives
- Addresses who, where, when, and how

Marketers must continually plan their analysis, implementation, and control activities.

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Marketing Department Organization

- To head up large marketing organizations, many companies have created a *chief marketing officer* (or C M O) position.
- Modern marketing departments can be arranged in several ways.
  - *Functional organization*
  - *Geographic organization*
  - Product management organization
  - Market or customer organization

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Marketing Control

- Marketing control involves four steps.
  - Management
    - sets specific marketing goals.
    - measures its performance in the marketplace
    - evaluates the causes of any differences between expected and actual performance
    - takes corrective action to close the gaps between goals and performance.
- Operating control
- Strategic control

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Measuring and Managing Return on Marketing Investment (1 of 2)

Return on Marketing Investment (Marketing ROI)

- **Net return** from a marketing investment divided by the costs of the marketing investment
- Measurement of the **profits generated** by investments in marketing activities

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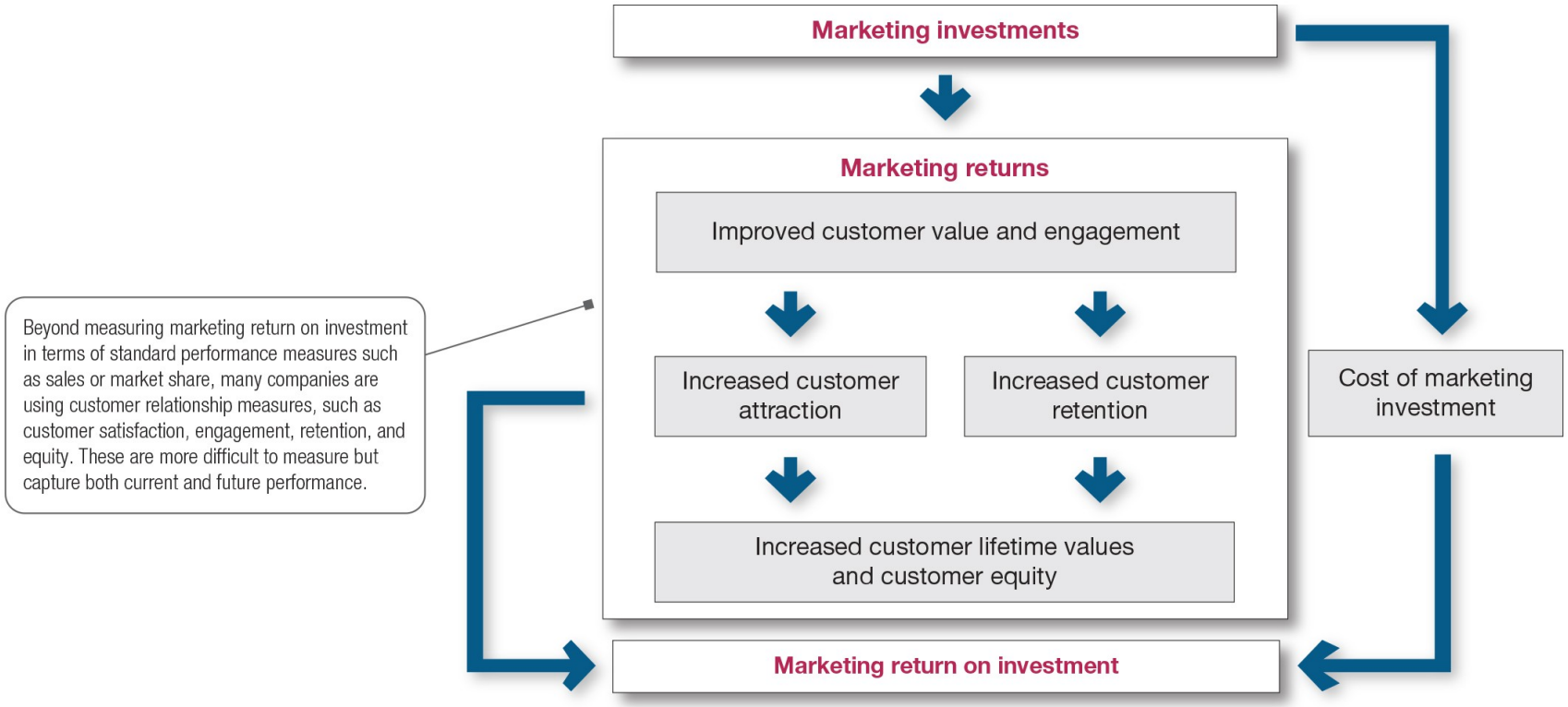
Measuring and Managing Return on Marketing Investment (2 of 2)

Figure 2.8 Marketing Return on Investment



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